

Bhawana Loan Management System

Vendor-Shareable Use Cases and Workflow Document

Field	Detail
Organisation	Bhawana Capital
Document type	Functional use cases and business workflows
Intended audience	Technology vendors, implementation partners, product teams, operations stakeholders
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This document describes the required business capabilities, user roles, use cases, workflow rules, and expected outcomes for the Bhawana Loan Management System (LMS).

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1. Document Scope

1.1 Scope

This document covers:

- Functional roles required in the LMS.
- Partner onboarding and access management.
- Loan product setup and partner-product mapping.
- Partner-led loan origination.
- Borrower identity, deduplication, and open-loan checks.
- Required document collection.
- Automated credit decisioning.
- Disbursement readiness, initiation, retries, and exception handling.

- Repayment schedule handling.
- Repayment posting and loan closure.
- Foreclosure quote and execution.
- Partner cancellation before disbursement.
- Operational dashboards, alerts, audit trails, and MIS reporting.
- Partner-facing self-service and system-to-system integration expectations.

2. Business Context

Bhawana Capital works with Lending Service Providers (LSPs), referred to in this document as partners. Partners source borrowers and submit loan applications to Bhawana. Bhawana manages credit policy, disbursement control, servicing oversight, reporting, and compliance visibility.

The LMS is the central operating platform for this lifecycle:

Phase	Business outcome
Setup	Partners, users, products, and integration access are configured.
Origination	Partner systems submit applications with borrower, product, and document information.
Credit decision	Applications are automatically approved or rejected against policy rules.
Disbursement	Approved loans are funded after all disbursement gates pass.
Servicing	Repayment schedules, payments, overdue tracking, closure, and foreclosure are managed.
Oversight	Bhawana monitors portfolio health through dashboards, reports, alerts, and audit trails.

End borrowers do not directly use the LMS. Borrowers interact with the partner. The partner interacts with Bhawana through partner staff screens and/or system-to-system integration.

Each partner must see only its own loans and borrowers. Bhawana internal users must be able to view and operate across the full portfolio.

3. Roles and Responsibilities

3.1 System Administrator

Who: Bhawana platform owner, operations leadership, or designated admin team.

Purpose: Full control over platform setup, users, partners, products, loan exceptions, disbursement controls, reporting, audit, and partner notifications.

Can do:

- Register, activate, and deactivate partners.
- Configure partner access restrictions and partner notification settings.
- Create and manage internal users, partner users, and partner integration credentials.
- Create and maintain loan products.
- Map loan products to eligible partners.
- View full portfolio dashboard across all partners.
- Search all loan applications and borrowers.
- Review documents and loan details.
- Manually approve eligible exceptions when allowed by policy.
- Override or reset permitted loan statuses with mandatory reason capture.

- Initiate or retry disbursement.
- Execute foreclosure.
- Run MIS reports and download outputs.
- Review audit history.
- Redrive failed partner notifications.
- Acknowledge alerts.

Cannot do:

- Create loans as if they were a partner system.
- Use borrower-facing flows, because no borrower portal is in scope.

3.2 Operations User

Who: Bhawana day-to-day operations team.

Purpose: Loan queue monitoring, borrower research, document review, repayment posting, alert handling, and escalation.

Can do:

- View and search all loan applications.
- View borrower profiles across partners.
- Download submitted KYC and loan documents for review.
- Record installment payments.
- Acknowledge operational alerts.
- Escalate stuck or exceptional loans to administrators.
- View product information in read-only mode.

Cannot do:

- Configure partners, users, API credentials, or products.
- Trigger disbursement.
- Execute foreclosure.
- Run MIS reports unless explicitly granted by business policy.
- Perform admin-level status overrides.
- Access partner-only screens.

3.3 Partner Staff - View Only

Who: LSP staff who need visibility into their own pipeline.

Purpose: Read-only view of that partner's loans.

Can do:

- View own partner's loan applications.
- View loan status, document checklist, repayment schedule, and selected borrower details.

Cannot do:

- See another partner's data.
- Create applications.
- Upload documents.
- Cancel loans.
- Post repayments.
- Access Bhawana internal screens.

3.4 Partner Staff - Manage

Who: LSP operations staff supporting active loan processing.

Purpose: Monitor in-flight applications for their own partner.

Can do:

- Everything Partner Staff - View Only can do.

Cannot do:

- Create new loan applications manually through the web UI.
- Post repayments through the web UI.
- Submit repayment schedules through the web UI.
- Access Bhawana internal screens.

3.5 Partner System

Who: The partner's own loan origination, onboarding, or servicing system.

Purpose: Automated partner integration at scale.

Can do through approved system-to-system channels:

- Authenticate using partner integration credentials.
- Create loan applications.
- Upload documents.
- Submit or replace repayment schedules before disbursement.
- Run disbursement bank checks.
- Record repayments.
- Request foreclosure quotes.
- Execute foreclosure where permitted by policy.
- Update borrower bank details.
- Retrieve product catalogue and loan status information.
- Receive partner notifications for loan events.

Cannot do:

- Access Bhawana internal admin functions.
- Access another partner's data.
- Use human web screens.

3.6 Automated System Processes

Purpose: Execute rules and operational processing without manual intervention.

Responsibilities:

- Evaluate auto-approval rules.
- Generate standard repayment schedules.
- Process disbursement attempts and retries.
- Deliver partner notifications.
- Generate scheduled or asynchronous reports.
- Evaluate alert rules.
- Move a loan into repayment after first payment.
- Close a loan when all installments are fully paid.

4. Role Access Matrix

Capability	System Admin	Ops User	Partner View	Partner Manage	Partner System
Partner setup	Yes	No	No	No	No
User and credential management	Yes	No	No	No	No
Product setup	Yes	No	No	No	Read catalogue
Product-partner mapping	Yes	No	No	No	Read eligible products
Create loan application	Exception only	No	No	No	Yes
View own partner loans	All partners	All partners	Yes	Yes	Yes
View all partner loans	Yes	Yes	No	No	No
Upload documents	Yes	Yes, if required	No	No	Yes
Download documents	Yes	Yes	Own partner only, if allowed	Own partner only, if allowed	Own partner only
Auto credit decision	Monitor	Monitor	View outcome	View outcome	Trigger through submission
Manual status exception	Yes	Escalate only	No	No	No
Cancel before disbursement	Yes	No	No	No	Yes
Submit repayment schedule	Yes	No	No	No	Yes
Initiate disbursement	Yes	No	No	No	No
Record repayment	Yes	Yes	No	No	Yes
Foreclosure quote	Yes	View if allowed	View if allowed	View if allowed	Yes
Execute foreclosure	Yes	No	No	No	If permitted
Reports	Yes	No, unless granted	No	No	No
Alerts	Yes	Yes	No	No	No
Audit	Yes	No, unless granted	No	No	No
Partner notifications	Configure and redrive	View alert impact	No	No	Receive

5. Loan Product Configuration

Each loan product defines the commercial and policy boundaries for a loan. A partner may originate only products that are active and explicitly mapped to that partner.

Product field	Meaning
Product code	Unique short identifier for the product.
Product name	Business display name.
Minimum principal	Lowest allowed sanctioned loan amount.
Maximum principal	Highest allowed sanctioned loan amount.
Annual interest rate	Interest rate used for EMI calculation.
Processing fee rate	Fee percentage applied on sanctioned principal.
Minimum tenure	Shortest allowed term in months.
Maximum tenure	Longest allowed term in months.
Status	Whether the product can currently be originated.

Product validation rules:

- Minimum and maximum principal must be positive.
- Minimum principal cannot exceed maximum principal.
- Interest rate must be within the allowed business range.
- Processing fee rate must be within the allowed business range.
- Minimum and maximum tenure must be positive.
- Minimum tenure cannot exceed maximum tenure.
- Product must be active before it can be used for new applications.
- Product must be enabled for the specific partner before that partner can originate against it.

6. Business Rules

6.1 Loan Origination Channel

Partner-originated loans are created by the partner system through approved system-to-system integration. Partner staff screens are for visibility and pre-disbursement support, not for manually typing new loan applications.

6.2 Automated Credit Decision

Every submitted application is evaluated through automated policy checks. There is no separate human underwriter queue in the standard process.

An application can be approved only when all checks pass:

Check	Business meaning
Partner active	The originating partner is permitted to operate.
Product active	The selected product is available.
Product mapped to partner	The partner is allowed to sell that product.
Principal in range	Loan amount is within product limits.
Tenure in range	Requested term is within product limits.
Required borrower fields complete	Mandatory identity, address, income, and reference details are present.
Required documents submitted	All eight required document types are uploaded.
One open loan rule	Borrower has no other active loan across any partner.

If any check fails, the application is rejected with clear business reason codes.

6.3 Required Borrower Identity Fields

The borrower record must include:

- Full name.
- PAN.
- Mobile number.
- Aadhaar or verified Aadhaar file reference, as applicable.
- Full address.
- Positive monthly income.
- Reference contact information.
- Bank account details before disbursement.

6.4 Borrower Deduplication

The platform treats each person as a single borrower across all partners.

Identity checks must follow this business logic:

Step	Check	Outcome
1	Match by PAN	Reuse borrower if identity is consistent; continue checks.
2	Compare mobile against existing identity	Block if mobile belongs to a different borrower.
3	Compare Aadhaar where available	Block if Aadhaar conflicts with the existing borrower.
4	Check active loans across all partners	Block if borrower already has an open loan.
5	No existing match	Create a new borrower profile.

When the same borrower is validly identified by PAN, the latest submitted profile details may update the borrower record, and the originating partner gains visibility to that borrower for its own loan relationship.

When identity conflict is detected, the loan must not be created and Bhawana operations must be alerted for review.

6.5 One Open Loan Per Borrower

A borrower may have at most one active loan across all partners.

The rule applies during:

- Application creation.
- Automated credit decision.

Loans counted as open include loans awaiting disbursement, in disbursement processing, disbursed, or pending payout reconciliation.

Rejected, cancelled, fully repaid, and foreclosed loans are not counted as open.

6.6 Required Documents

All eight document types are required before automated approval can pass:

Document	Required for approval	Required for disbursement
PAN Card	Yes	Yes
Verified Aadhaar file	Yes	Yes
Address proof	Yes	Yes
Income proof	Yes	Yes
Bank statement	Yes	Yes
Selfie photograph	Yes	Yes
Key Fact Statement	Yes	Yes
Loan agreement	Yes	Yes

There is no separate document verification status in the standard workflow. Upload means submitted. Bhawana users may download and review documents, but the workflow does not require a separate "verified" gate unless added as a future enhancement.

6.7 EMI and Interest

Interest is quoted as an annual percentage rate. Repayments follow a monthly EMI model.

Business rules:

- Monthly rate is derived from annual rate.
- EMI is based on sanctioned principal, monthly rate, and tenure.

- Currency is rounded to two decimal places.
- Zero-interest products divide principal evenly across tenure.
- The last installment may be adjusted slightly to ensure the closing principal becomes zero.
- The first due date is one calendar month after approval unless a partner-provided valid schedule replaces the standard schedule before disbursement.

6.8 Processing Fee

The expected business model is:

Aspect	Rule
Fee basis	Sanctioned principal multiplied by processing fee rate.
Borrower cash received	Sanctioned principal minus processing fee.
Repayment basis	Borrower repays the full sanctioned principal.
Fee timing	Deducted at disbursement.
GST on fee	Out of scope unless separately approved.
Fee waivers	Out of scope unless separately approved.

6.9 Repayment Schedule

A repayment schedule can be created in two ways:

Schedule source	When used
System-generated schedule	Created automatically after approval.
Partner-provided schedule	Submitted by partner system before disbursement and replaces the generated schedule if valid.

Schedule validation rules:

- Number of installments must match approved tenure.
- Installments must be numbered consecutively.
- Due dates must be strictly increasing.
- Amounts cannot be negative.
- Principal plus interest must equal installment amount for each row.
- Opening and closing principal balances must chain correctly.
- First opening principal must equal sanctioned principal.
- Total principal due must equal sanctioned principal.
- Final closing principal must be zero.

A schedule cannot be changed after disbursement or after repayments begin.

6.10 Disbursement Gates

Disbursement cannot proceed until:

- Application is approved or in an eligible retry state.
- Partner is active.
- Product is active.
- All required documents are available.
- A valid repayment schedule exists.
- Borrower bank details are present.

- Any required bank confirmation is complete.

Temporary payout failures move the loan to a retry state. Retry failures that remain unresolved beyond the agreed threshold must raise an operations alert.

6.11 Payment Rules

- Payments are allowed only after disbursement.
- Payments must match the exact outstanding amount for the target installment.
- Partial installment payments are not supported in the standard workflow.
- Supported payment channels include NEFT, RTGS, IMPS, UPI, bank transfer, NACH, cash, and cheque.
- Duplicate payment posting must be prevented by a unique payment reference or equivalent business control.
- The first payment moves the loan into repayment status.
- The final installment payment closes the loan as fully repaid.

6.12 Delinquency

Delinquency is calculated from overdue installments. It is not a separate loan status.

Bucket	Meaning
Current	No overdue amount.
DPD 1 to 30	1 to 30 days past due.
DPD 31 to 60	31 to 60 days past due.
DPD 61 to 90	61 to 90 days past due.
DPD 90+	More than 90 days past due.

The loan's delinquency bucket is based on the worst overdue installment.

6.13 Foreclosure

Foreclosure is early closure after disbursement.

Foreclosure quote rules:

- Quote can be requested only after disbursement.
- Payoff equals unpaid principal plus unpaid interest across all installments.
- Quote has an effective settlement date.
- A new quote supersedes any prior active quote.

Foreclosure execution rules:

- Settlement amount must match the active quote.
- Settlement date must match the quote effective date.
- Payment reference is mandatory.
- Loan becomes foreclosed and terminal.
- Partner is notified where notification is configured.

6.14 Partner Cancellation

Partners may cancel or invalidate a loan only before disbursement.

Allowed states for partner cancellation:

- Submitted.
- Awaiting decision.

- Approved pending disbursement.
- Disbursement retry.

Cancellation requires a reason. If "Other" is selected, explanation text is mandatory.

7. Loan Lifecycle and Status Definitions

7.1 Lifecycle Overview

Status	Plain-language meaning
Submitted	Application created; required data and documents are being checked.
Awaiting decision	Application is ready for automated credit decision.
Approved pending disbursement	Credit checks passed; disbursement gates must be satisfied.
Disbursement retry	Payout attempt failed or needs reconciliation; retry or admin action required.
Disbursed	Funds released; no repayment may have been posted yet.
Under repayment	At least one installment payment has been recorded.
Closed	All installments fully paid; terminal status.
Foreclosed	Loan settled early through foreclosure; terminal status.
Rejected	Application failed policy or validation checks; terminal status.
Cancelled	Partner or admin invalidated the application before disbursement; terminal status.

7.2 Normal Lifecycle Flow

1. Partner system submits loan application.
2. Required documents are collected.
3. Automated policy checks run.
4. Application is either rejected or approved pending disbursement.
5. Repayment schedule is generated or partner-provided schedule is accepted.
6. Disbursement gates are checked.
7. Loan is disbursed.
8. Repayments are recorded.
9. Loan is closed by full repayment or foreclosed by settlement.

7.3 Exception Flow

Scenario	Expected handling
Identity conflict	Block application and alert Bhawana operations.
Borrower already has open loan	Block or reject, depending on point of detection.
Required documents missing	Keep application from approval until documents are provided, or reject if decision rules require.
Product not active	Reject or block application.
Partner not active	Block new partner activity.
Disbursement failure	Move to retry; alert if unresolved.
Duplicate partner loan reference	Reject duplicate submission.
Payment duplicate	Prevent duplicate posting.

8. Use Case Catalogue

ID	Use case	Primary actor
UC-001	Sign in	Human user
UC-002	Mandatory password change	Human user
UC-003	End user session	Human user
UC-004	Create partner	System Administrator
UC-005	Activate or deactivate partner	System Administrator
UC-006	Configure partner notification settings	System Administrator
UC-007	Manage partner access restrictions	System Administrator
UC-008	Create internal or partner user	System Administrator
UC-009	Reset password or disable user	System Administrator
UC-010	Create partner integration credential	System Administrator
UC-011	Rotate or disable partner integration credential	System Administrator
UC-012	Create or update loan product	System Administrator
UC-013	Map product to partner	System Administrator
UC-014	Retrieve product catalogue	Partner System
UC-015	Submit loan application	Partner System
UC-016	Run borrower identity and open-loan checks	Automated System
UC-017	Upload required documents	Partner System
UC-018	Review or download documents	Bhawana Admin, Operations User
UC-019	Run automated credit decision	Automated System
UC-020	Cancel pre-disbursement application	Partner System
UC-021	Manually resolve loan exception	System Administrator
UC-022	Submit repayment schedule	Partner System
UC-023	Confirm disbursement readiness	Partner System, System Administrator
UC-024	Initiate disbursement	System Administrator or automated process
UC-025	Process disbursement retry	Automated System, System Administrator
UC-026	Record repayment	Operations User, Partner System
UC-027	Close loan after final repayment	Automated System
UC-028	Request foreclosure quote	System Administrator, Partner System
UC-029	Execute foreclosure	System Administrator, Partner System if permitted
UC-030	Update borrower bank details	Partner System, System Administrator
UC-031	Search loan applications	Bhawana internal users
UC-032	Search and view borrowers	Bhawana internal users
UC-033	View portfolio dashboard	System Administrator
UC-034	Generate MIS report	System Administrator
UC-035	Acknowledge alert	System Administrator, Operations User
UC-036	Escalate loan exception	Operations User
UC-037	Deliver partner notification	Automated System
UC-038	Redrive failed partner notification	System Administrator
UC-039	Search audit history	System Administrator
UC-040	Partner views own loans	Partner Staff

9. Detailed Use Cases

UC-001: Sign In

Goal: Allow a human user to access the LMS according to their role.

Primary actor: Human user.

Preconditions:

- User account exists.
- User account is active.
- Partner user satisfies partner access restrictions where enforced.

Main flow:

1. User enters credentials.
2. System verifies credentials and account status.
3. System determines user's role and partner association, if any.
4. User is directed to the correct landing area for their role.

Exceptions:

- Invalid credentials: access is denied.
- Inactive user: access is denied.
- Password change required: user is sent to password change flow.
- Partner access restriction failed: access is denied.

Success outcome: User enters the LMS with role-appropriate permissions.

UC-004: Create Partner

Goal: Register a new LSP partner for operations.

Primary actor: System Administrator.

Preconditions:

- Administrator has platform setup rights.
- Required partner business details are available.

Main flow:

1. Administrator enters partner name, identifiers, status, contact, and operating details.
2. System creates the partner.
3. Administrator configures products, users, credentials, notifications, and access restrictions as required.

Success outcome: Partner is ready for controlled onboarding.

UC-005: Activate or Deactivate Partner

Goal: Control whether a partner may operate.

Primary actor: System Administrator.

Main flow:

1. Administrator selects partner.
2. Administrator changes status and provides reason where required.
3. If deactivated, new partner activity is blocked and integration access is disabled or restricted according to policy.
4. If reactivated, administrator completes any required credential or configuration steps.

Success outcome: Partner operating status matches Bhawana's business decision.

UC-012: Create or Update Loan Product

Goal: Define the loan types partners may offer.

Primary actor: System Administrator.

Main flow:

1. User enters product code, name, principal range, tenure range, interest rate, processing fee rate, and status.
2. System validates product rules.
3. User saves product.
4. Product becomes available for partner mapping if active.

Success outcome: Product can be governed and offered to eligible partners.

UC-013: Map Product to Partner

Goal: Allow a specific partner to originate a specific product.

Primary actor: System Administrator.

Main flow:

1. User selects partner.
2. User selects product.
3. User enables or disables mapping.
4. System applies mapping during future loan submissions.

Success outcome: Partner can originate only approved products.

UC-015: Submit Loan Application

Goal: Allow partner system to originate a loan application.

Primary actor: Partner System.

Preconditions:

- Partner is active.
- Partner integration access is active.
- Product is active and mapped to partner.
- Application carries a unique partner loan reference.

Main flow:

1. Partner system submits borrower details, product selection, requested amount, tenure, bank details if available, and partner loan reference.
2. System validates partner, product, and request completeness.
3. System runs borrower identity and open-loan checks.
4. System creates the application if checks pass.
5. System initializes required document checklist.
6. System evaluates auto-approval once required data and documents are complete.
7. System returns the application status and any rejection reasons.

Exceptions:

- Duplicate partner loan reference: submission is rejected.
- Identity conflict: application is blocked and operations alert is raised.
- Borrower has open loan: application is blocked or rejected.
- Product or partner inactive: submission is blocked.

Success outcome: Application exists with a clear lifecycle status.

UC-017: Upload Required Documents

Goal: Collect documents required for approval and disbursement.

Primary actor: Partner System.

Main flow:

1. Actor selects the application.
2. Actor uploads one or more required documents.
3. System marks those document types as submitted.
4. Once all required documents are submitted, system re-evaluates approval readiness.

Success outcome: Document checklist is complete and application can proceed to decisioning.

UC-019: Run Automated Credit Decision

Goal: Approve or reject an application based on fixed policy checks.

Primary actor: Automated System.

Preconditions:

- Application has required borrower data.
- Required documents are submitted.
- Partner and product configuration are valid.

Main flow:

1. System checks partner and product eligibility.
2. System checks amount, tenure, borrower details, documents, and open-loan rule.
3. If all checks pass, application becomes approved pending disbursement.
4. If any check fails, application is rejected with reason codes.
5. Partner notification is generated where configured.

Success outcome: Application has a final credit decision or a clear reason for rejection.

UC-020: Cancel Pre-Disbursement Application

Goal: Allow partner to withdraw an application before funds are released.

Primary actor: Partner System.

Preconditions:

- Application has not been disbursed.
- Application is in an allowed pre-disbursement state.

Main flow:

1. Actor selects cancellation action.
2. Actor provides reason.
3. System marks application as cancelled.
4. Partner and Bhawana views reflect terminal cancelled status.

Success outcome: Application is cancelled and cannot proceed to disbursement.

UC-021: Manually Resolve Loan Exception

Goal: Let administrators handle approved exception scenarios.

Primary actor: System Administrator.

Main flow:

1. Administrator reviews loan details, documents, history, and alert context.
2. Administrator selects a permitted status action or override.
3. Administrator enters mandatory reason.
4. System records the action and updates the loan if policy permits.

Success outcome: Exception is resolved with reason and audit trail.

UC-022: Submit Repayment Schedule

Goal: Let partner provide a custom repayment schedule before disbursement.

Primary actor: Partner System.

Preconditions:

- Loan is approved but not disbursed.
- No repayment has been posted.

Main flow:

1. Partner system submits installment plan.
2. System validates installment count, dates, amounts, principal chain, and final balance.
3. If valid, schedule replaces the generated schedule.
4. If invalid, schedule is rejected with clear reasons.

Success outcome: Valid repayment schedule is available for disbursement.

UC-024: Initiate Disbursement

Goal: Release funds for an approved loan after all gates pass.

Primary actors: System Administrator, Automated System.

Preconditions:

- Loan is approved pending disbursement or eligible for retry.
- Required documents are complete.
- Valid repayment schedule exists.
- Borrower bank details are present.
- Partner and product remain active.

Main flow:

1. System or administrator starts disbursement processing.
2. System validates all gates.
3. If validation passes, payout is attempted.
4. If payout succeeds, loan becomes disbursed.
5. If payout fails temporarily, loan moves to retry.
6. If validation fails, loan is blocked or rejected according to policy.

Success outcome: Loan is funded or placed into a controlled exception state.

UC-026: Record Repayment

Goal: Record full installment payment against a disbursed loan.

Primary actors: Operations User, Partner System.

Preconditions:

- Loan is disbursed or under repayment.
- Target installment exists and is unpaid.
- Payment amount equals outstanding installment amount.

Main flow:

1. Actor submits payment details: installment, amount, date, channel, and reference.
2. System validates eligibility and duplicate controls.
3. System marks installment as paid.
4. If this is the first payment, loan moves to under repayment.
5. If all installments are paid, loan closes automatically.
6. Partner notification is generated where configured.

Success outcome: Payment is recorded and loan status reflects servicing progress.

UC-028: Request Foreclosure Quote

Goal: Calculate payoff for early loan closure.

Primary actors: System Administrator, Partner System.

Preconditions:

- Loan has been disbursed.
- Loan is not already closed or foreclosed.

Main flow:

1. Actor requests quote for a specific settlement date.
2. System calculates unpaid principal plus unpaid interest.
3. System returns payoff amount and effective date.
4. Any previous active quote is superseded.

Success outcome: Valid foreclosure quote exists.

UC-029: Execute Foreclosure

Goal: Close a loan early using an active foreclosure quote.

Primary actors: System Administrator, Partner System if permitted.

Preconditions:

- Active quote exists.
- Settlement amount and date match the quote.
- Payment reference is available.

Main flow:

1. Actor submits settlement amount, date, and payment reference.
2. System validates against active quote.
3. System marks loan as foreclosed.
4. Partner notification is generated where configured.

Success outcome: Loan is terminally foreclosed.

UC-034: Generate MIS Report

Goal: Provide portfolio reporting for management and operations.

Primary actor: System Administrator.

Main flow:

1. Administrator selects report parameters such as date range, partner, product, and status.
2. System prepares report preview or full export.
3. Administrator downloads report when ready.
4. Report access is recorded for audit purposes.

Success outcome: Administrator receives the required MIS output.

UC-035: Acknowledge Alert

Goal: Let operations confirm that an alert has been reviewed.

Primary actors: System Administrator, Operations User.

Main flow:

1. User opens alert queue.
2. User reviews alert details and related loan or partner context.
3. User acknowledges the alert or escalates as needed.
4. System records the acknowledgement.

Success outcome: Alert has a clear operational owner and disposition.

UC-037: Deliver Partner Notification

Goal: Keep partner systems informed about lifecycle events.

Primary actor: Automated System.

Events may include:

- Loan created.
- Loan status changed.
- Disbursement succeeded or failed.
- Repayment recorded.
- Loan fully repaid.
- Loan foreclosed.
- Cancellation recorded.

Main flow:

1. Business event occurs.
2. System prepares partner-specific notification.
3. System sends notification to configured partner destination.
4. If delivery fails temporarily, system retries.
5. If delivery remains failed, administrator can review and redrive.

Success outcome: Partner system receives reliable event updates.

UC-039: Search Audit History

Goal: Allow administrators to investigate important actions and changes.

Primary actor: System Administrator.

Main flow:

1. Administrator selects filters such as user, partner, loan, action type, date range, or status.
2. System returns matching audit entries.

3. Administrator reviews history for compliance, investigation, or reconciliation.

Success outcome: Bhawana can reconstruct who did what, when, and why.

10. End-to-End Workflows

WF-01: Partner Onboarding

Objective: Make a new partner operational.

Step	Owner	Action
1	System Administrator	Register partner.
2	System Administrator	Configure partner status and operating details.
3	System Administrator	Create partner users.
4	System Administrator	Create partner integration credentials.
5	System Administrator	Map eligible products to partner.
6	System Administrator	Configure notifications and access restrictions.
7	Partner	Validate integration and operational readiness.
8	System Administrator	Activate partner for production use.

Exit criteria: Partner can originate eligible products and receive event updates.

WF-02: Product Setup and Partner Mapping

Objective: Make a product available for controlled origination.

Step	Owner	Action
1	System Administrator	Define product code and name.
2	System Administrator	Configure principal, tenure, interest, and processing fee.
3	System Administrator	Activate product when approved.
4	System Administrator	Map product to approved partners.
5	System	Enforce product and mapping during application submission.

Exit criteria: Only mapped active partners can originate the product.

WF-03: Loan Origination and Auto-Approval

Objective: Originate a partner loan and produce an automated decision.

Step	Owner	Action
1	Partner System	Submit application with borrower, product, amount, tenure, and partner reference.
2	System	Validate partner, product, and uniqueness.
3	System	Run borrower identity and open-loan checks.
4	Partner System	Upload all required documents.
5	System	Run automated credit decision.
6A	System	Approve application pending disbursement if all rules pass.
6B	System	Reject application with reason codes if any rule fails.
7	System	Notify partner of outcome where configured.

Exit criteria: Application is approved pending disbursement, rejected, or blocked with clear reason.

WF-04: Document Completion

Objective: Ensure application has all required documents.

Step	Owner	Action
1	System	Presents required document checklist.
2	Partner System	Uploads documents.
3	System	Marks each document type submitted.
4	System	Checks whether all eight required documents are present.
5	System	Re-evaluates credit decision when the checklist is complete.
6	Bhawana Ops	May download and review documents for operational purposes.

Exit criteria: Document checklist complete and loan can proceed according to policy.

WF-05: Disbursement

Objective: Fund approved loans only after all required gates pass.

Step	Owner	Action
1	System	Confirms loan is approved pending disbursement.
2	System	Verifies documents, schedule, bank details, partner status, and product status.
3	System Administrator or System	Initiates disbursement.
4A	System	Marks loan disbursed on successful payout.
4B	System	Moves loan to retry if payout temporarily fails.
5	System	Generates partner notification where configured.
6	Operations	Reviews alerts for stuck or repeated failures.

Exit criteria: Loan is disbursed or in a controlled retry/exception state.

WF-06: Repayment Servicing and Closure

Objective: Track installment payments until the loan is closed.

Step	Owner	Action
1	System	Maintains repayment schedule.
2	Operations User or Partner System	Posts full installment payment.
3	System	Validates amount, installment, status, and duplicate controls.
4	System	Marks installment paid.
5	System	Moves loan to under repayment on first payment.
6	System	Closes loan automatically when final installment is paid.
7	System	Notifies partner where configured.

Exit criteria: Loan remains current, overdue, or closes after full repayment.

WF-07: Foreclosure

Objective: Close a loan early with a calculated settlement amount.

Step	Owner	Action
1	System Administrator or Partner System	Requests quote for settlement date.
2	System	Calculates payoff amount.

Step	Owner	Action
3	Actor	Confirms payment amount, date, and reference.
4	System	Validates against active quote.
5	System	Marks loan foreclosed.
6	System	Notifies partner where configured.

Exit criteria: Loan is foreclosed and terminal.

WF-08: Partner Cancellation Before Disbursement

Objective: Allow partner to withdraw an application before funds are released.

Step	Owner	Action
1	Partner System	Selects eligible application.
2	Partner System	Provides cancellation reason.
3	System	Confirms application has not been disbursed.
4	System	Marks application cancelled.
5	System	Notifies partner and updates Bhawana view.

Exit criteria: Application is terminally cancelled.

WF-09: Alert Handling and Escalation

Objective: Ensure operational exceptions are visible and acted upon.

Step	Owner	Action
1	System	Creates alert for configured exception.
2	Operations User	Reviews alert details.
3	Operations User	Resolves directly if within permission.
4	Operations User	Escalates to administrator if admin action is required.
5	System Administrator	Takes exception action where needed.
6	User	Acknowledges alert.

Exit criteria: Alert is acknowledged, escalated, or resolved.

WF-10: MIS Reporting

Objective: Generate portfolio reports for management, operations, and reconciliation.

Step	Owner	Action
1	System Administrator	Selects report filters.
2	System	Shows preview or accepts full export request.
3	System	Generates report.
4	System Administrator	Downloads report when ready.
5	System	Records report access.

Exit criteria: Report is available and access is auditable.

11. Reporting, Alerts, Audit, and Notifications

11.1 Portfolio Dashboard

System Administrator should be able to view portfolio metrics such as:

- Applications by status.
- Disbursed amount.
- Outstanding exposure.
- Overdue buckets.
- Partner-level performance.
- Recent applications.
- Open operational alerts.

11.2 MIS Reports

MIS reporting should support:

- Date filters.
- Partner filters.
- Product filters.
- Status filters.
- Preview before download where practical.
- Export for offline analysis.
- Access history for compliance.

11.3 Alerts

The system should generate alerts for important operational conditions, including:

- Borrower identity conflict.
- Borrower already has an active loan.
- Stuck disbursement retry.
- Disbursement failure.
- Partner auto-rejection spike.
- Overdue bucket worsening.
- Failed partner notification.
- Operations escalation.
- Partner disabled.

11.4 Audit Requirements

The system must retain audit history for sensitive and important actions:

- Sign in and security events.
- User and credential changes.
- Partner status changes.
- Product changes.
- Loan application lifecycle changes.
- Document access.

- Disbursement attempts and outcomes.
- Repayment postings.
- Foreclosure execution.
- Report downloads.
- Partner notification retries and redrives.

Each audit entry should capture who acted, what changed, when it happened, business reason where applicable, and the related partner or loan context.

11.5 Partner Notifications

Partners should receive notifications for relevant loan events. Notifications must be partner-scoped and retryable.

Expected notification events:

- Loan created.
- Loan status changed.
- Loan approved.
- Loan rejected.
- Loan cancelled.
- Disbursement succeeded.
- Disbursement failed or retried.
- Repayment recorded.
- Loan fully repaid.
- Foreclosure quote generated.
- Loan foreclosed.

Administrators must be able to review failed notifications and retry them when appropriate.

12. Out of Scope

The following are not part of the standard LMS workflow unless separately approved:

Out-of-scope item	Implication
Borrower self-service portal	Borrowers interact through partners.
Manual partner web form for loan creation	Partner systems originate loans.
Human underwriter queue	Credit decisioning is automated, with admin exceptions only.
Automated credit bureau pull	Partner-submitted data is used for decisioning unless future scope changes.
Collection agent field workflow	No field-visit or collection-agent task management.
Partial EMI payments	Full installment payment only.
GST on processing fee	Requires separate policy and product decision.
Fee waivers or promotional fee rules	Requires separate product decision.
Post-disbursement schedule edits	Schedule is frozen after disbursement.

13. Vendor Clarification Points

The vendor should explicitly confirm these points during discovery:

1. Final list of required borrower fields and document metadata.

2. Exact processing fee treatment at disbursement, including tax treatment if any.
 3. Whether partner foreclosure execution is allowed for all partners or only selected partners.
 4. Whether operations users should remain escalation-only for lifecycle exceptions.
 5. Whether document upload should remain "submitted only" or needs a future verified/rejected review stage.
 6. Notification event list and payload fields expected by partners.
 7. Report formats, filters, and delivery expectations.
 8. Alert thresholds for rejection spikes, stuck disbursement, and overdue movement.
 9. Partner access restriction policy by environment and partner type.
 10. Data retention and audit retention requirements.
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End of document.